It is, incidentally, only a matter of accounting that valuation gains are ‘realized’ or ‘unrealized’. In 2019–20, when RBI wanted to give a higher distribution to the government to make it look that the Bimal Jalan Committee had been favourable to it, it simply swapped foreign securities with accumulated profits with new securities at current prices. The difference, over Rs 50,000 crore of valuation gain, got converted into realized gain and RBI paid that as a dividend to the government. Therefore, as far as the ECF recommended by the Bimal Jalan Committee is concerned, valuation gains of over Rs 12 lakh crore are out of reach of the government. However, if you want to distribute some part of it, you just need to swap old securities with accumulated gains with the same securities at current prices.

Second, in terms of functional requirement, RBI needs no capital reserves for monetary, financial and external liabilities management. Yet, in 2016, it decided to maintain balance equal to 3–4 per cent of assets as realized equity in the Available Contingency Fund. Instead of lowering this unnecessary requirement, the Committee raised it to 5.5–6.5 per cent.

The Available Contingency Fund/realized equity balance exceeded 7 per cent of assets as on 30 June 2018. The logic of the Committee’s recommendation was to deprive the government of as much as possible of the accumulated realized profits of about Rs 2.4 lakh crore.

As the requirement of realized equity would rise every year at 5.5–6.5 per cent for the increased assets of RBI, the surplus would have to be retained to this extent by it. If the assets base rises by Rs 10 lakh crore, Rs 55,000–65,000 crore of surplus would be retained.

The net effect of both recommendations is that the government would never get 100 per cent of surplus in future. And in most years, about 50 per cent or more of the surplus would be retained by RBI to be invested in low-yielding foreign currency assets. That’s a really bad deal for the government —and the nation.